

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

SM LINE CORPORATION,

RESPONDENT.

JOINT STATUS REPORT

Pursuant to the November 25, 2024 Order Granting Complainant's Motion to Conform Subpoena ("Order"), Samsung Electronics America, Inc. ("SEA") and Respondent, SM Line Corporation ("SM Line") (each a "Party" and collectively the "Parties"), submit this Joint Status Report. The Order directed that "the parties are further ORDERED to submit a Joint Status Report, no later than December 4, 2024, providing the status of the outstanding subpoenas and a proposed supplemental briefing schedule, if needed." The parties have not been able to agree on the joint status submission and present separate positions below.

SEA Position:

On November 12, 2024, Mr. Yoon-Jai "Mark" Lee confirmed that he would appear for deposition by Zoom on November 26, 2024 commencing at 8:00 AM eastern time. On November 12, 2024, counsel for SEA advised Mr. Lee that his confirmation would be submitted to the ALJ

and on November 13, 2024 counsel for SEA filed its Motion to Amend the Lee Subpoena. On November 18, 2024, Mr. Lee requested a translator for the deposition. On November 19, 2024, counsel for SM Line, Mr. Wook Chung, advised that “[w]e have just been given authority to represent Mr. Lee in his personal capacity for the purpose of this deposition” and requested that further communications be directed to counsel. Counsel reiterated the request for an interpreter for the entirety of the deposition. On November 26, 2024, Mr. Lee, represented by SM Line counsel, was deposed *via* a Korean language interpreter *via* Zoom.

Status of Outstanding Subpoenas

Having located Mr. Lee for the purpose of taking his deposition, SEA considers the subpoena issued to SeaLead Shipping USA, Inc. moot and SEA will not pursue any further action or enforcement related to the SeaLead subpoena. Having now taken the deposition of Mr. Lee, SEA considers the subpoena issued for Mr. Lee’s deposition satisfied and SEA will not pursue any further action or enforcement related to the subpoena.

No Need has been Shown for Supplemental Briefing

The parties were to provide by December 4 “a proposed supplemental briefing schedule, **if needed.**” (emphasis added). The parties disagree on the need component. Having taken the testimony of Mr. Lee, SEA submits that supplemental briefing is not justified, in significant part because of the witness’ lack of meaningfully probative testimony. This will be evident to the Presiding Officer if SM Line is permitted to supplement the record with Mr. Lee’s testimony.

We are mindful that SEA undertook significant efforts and related delay to obtain the testimony of Mr. Lee—which was because of the alleged central role and involvement in demurrage and detention policy attributed to Mr. Lee by other SM Line witnesses. Unfortunately, it is abundantly clear from his testimony that his role in demurrage and detention policy was neither

central nor critical. SM Line witnesses time and time again disclaimed responsibility for policy decisions—pointing fingers at other teams and offices—and Mr. Lee’s testimony is more of the same. Because SEA cannot justify the time and expense in supplemental briefing, it advised SM Line it did not intend to propose supplemental briefing. When SM Line stated it sought supplemental briefing, SEA then asked for specifics as to the timing, the length, the scope, and the overall justification of it. SM Line’s response, in its position section, provides no justification.

SM Line states it “plans to file a motion to supplement the record” and do so by December 18, 2024. Why should SM Line provide some justification in its motion to supplement on December 18, 2024 it was Ordered to address the need for supplemental briefing today? SM Line’s response does not comply with the requirements of the Order; SM Line is required now to state why supplemental briefing is necessary so the Presiding Officer can assess the propriety of allowing further briefing and record supplementing and issue an order. SM Line has failed to do so; the statement that “new evidence” by way of deposition testimony “is relevant to SM Line’s defense” is insufficient.

The case is fully briefed for decision and the extended deadline for the initial decision is February 21, 2025. Because counsel for SEA cannot justify to its client why supplemental briefing is necessary, along with the added time and cost for the work product and the potential delay of the initial decision caused by it, it opposes SM Line’s position.¹

SM Line Position:

On December 3, 2024, at around 3:33PM, SEA counsel sent email to SM Line Counsel and advised that SEA will take no further action related to the SeaLead and Mark Lee Subpoenas

¹ In the event the Presiding Officer grants SM Line’s request to file a supplemental brief despite SM Line not providing any justification whatsoever herein, SEA reluctantly requests appropriate time be afforded for a response brief.

and also have no proposed supplemental briefing on the topic. SEA counsel further asked, “*if SM Line is amendable to that course of action and if so, we can prepare a draft for your review.*”

On the same date, at around 5:07PM, SM Line counsel responded that, in short, SM Line plans to submit a motion seeking the Court’s approval to supplement our final pleadings. SM Counsels then provided one sentence (“*SM Line will soon follow up with a motion to supplement its final pleading to include M. Lee’s testimony in the record.*”) and also asked if SEA would have objection to including the same to the joint status report.

On December 4, 2024, at around 11:24AM, SEA sent a follow up email to SM Line. Along with other comments, SEA counsels asked “*What is [SM Line’s] proposal? Timing, length, scope.*” On the same day, at around 11:49AM, SM Line’s counsel responded to the said email. SM Line counsels responded that “*[w]e anticipate that our submission is going to address some of the relevant points that were made by Mr. Lee during his deposition. We do not foresee a lengthy supplement. And we should be able to submit one in fourteen (14) days from the date of the receipt of the Court’s approval.*”

SM Line followed up by asking “if SEA would object to SML’s motion to supplement its briefs and if SEA counsels want to talk more about this via Zoom/Team.”

Counsels for SM Line and SEA have then conferred in compliance with the requirement set by 46 C.F.R. § 502.71. During the meeting SM Line stated its intention to file a motion to supplement the record or otherwise supplement briefing in observance of Your Honor’s November 25, 2024 order. SEA disagreed.

As shared with SEA counsel, SM Line plans to file a motion to supplement the record. SM Line proposes the following briefing schedule for the motion to supplement pursuant to 46 C.F.R § 502.216 and § 502.71: SM Line will submit Motion to supplement the record with the evidence

gathered via the deposition of Mr. Yoon-Jai “Mark” Lee on December 18, 2024. The motion to supplement will only address new evidence offered by the deposition, why the newly obtained evidence is relevant to SM Line’s defense, and it will be maximum ten pages in length as provided by § 502.71.

SM Line disagrees with SEA’s characterization of the communications between the counsels involving this joint status report. But more importantly, SM Line disagrees with SEA’s characterization of the objective of this joint status report. Contrarily to what SEA seems to be suggesting above, SM Line does not believe that Your Honor’s Order requires SM Line to explain in this joint status report the reasons why SM Line would like to integrate the record via the introduction of evidence obtained during the deposition of Mr. Lee. SM Line respectfully submits that the proper channel to present said reasons is by moving pursuant to 46 C.F.R § 502.216 in the form and schedule tentatively proposed above, or any other form or schedule the Presiding Officer will see fit to adopt.

Dated: December 4, 2024

Respectfully Submitted,

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